AGREEMENT AND PLAN OF MERGER

Synthetic High-Complexity Contract Stress Fixture (STRESS_03_COMPLEX)

CONFIDENTIALITY & PREPARATION NOTICE: This Agreement and Plan of Merger (the "Agreement") is entered into as of August 29, 2026, by and among **Aethelgard Holdings LLC**, a Delaware limited liability company ("Buyer"), **Vortex Systems, Inc.**, a Delaware corporation ("Target"), **Vortex Apex Shareholder Aggregator LP**, a Cayman Islands exempted limited partnership ("Seller Representative"), and the Founder Principal identified on the signature page hereto ("Founder").

1. THE MERGER & STRUCTURAL FRAMEWORK

1.1 **The Structure.** Upon the terms and subject to the satisfaction or waiver of the conditions set forth herein, Target shall merge with and into Buyer pursuant to Section 251 of the Delaware General Corporation Law (the "DGCL"), whereupon the separate corporate existence of Target shall cease, and Buyer shall continue as the surviving entity (the "Surviving Corporation"). The merger shall become effective at such time as the Certificate of Merger is duly filed with the Secretary of State of the State of Delaware (the "Effective Time").

1.2 **Effect of Merger & Post-Closing Ops.** At the Effective Time, all assets, rights, privileges, powers, immunities, and liabilities of Target shall vest in the Surviving Corporation by operation of law. Buyer agrees that for a period of eighteen (18) months post-Closing, it shall maintain the Target's operational headquarters in Austin, Texas and shall preserve substantially all core engineering personnel; *provided, however*, that any failure by Buyer to comply with this covenant shall not give rise to monetary damages exceeding $100,000 in the aggregate, which shall be Seller's sole and exclusive remedy for any breach of this Section 1.2.

2. PURCHASE PRICE, EARNOUT & COMPLEX ADJUSTMENT MECHANICS

2.1 **Consideration Components.** The aggregate consideration payable by Buyer for all outstanding equity interests of Target shall be up to Sixty-Five Million Dollars ($65,000,000) (the "Total Consideration"), subject to adjustment as follows:

- (a) **Closing Cash:** Forty-Five Million Dollars ($45,000,000) paid at Closing to Seller Representative for distribution to Target equityholders;
- (b) **Indemnity Escrow:** Five Million Dollars ($5,000,000) (the "Escrow Amount") deposited with an escrow agent for twelve (12) months; and
- (c) **Earnout Consideration:** Up to Fifteen Million Dollars ($15,000,000) payable in three annual instalments based on performance during fiscal years 2027, 2028, and 2029 (each, an "Earnout Year").

2.2 **Earnout Formula & Circular Mechanics.** The Earnout Consideration for any Earnout Year shall be calculated as $E_y = 3 \times$ ***(Target Adjusted EBITDA − Baseline Threshold)***, where Baseline Threshold is $10,000,000. "Target Adjusted EBITDA" means net income before interest, taxes, depreciation, and amortization, calculated in accordance with GAAP; *provided, further*, that Target Adjusted EBITDA shall explicitly subtract all post-closing operational integration expenses, administrative cost allocations imposed by Buyer, and any indemnification payments disbursed from the Escrow Amount or paid directly by Seller Representative under Section 5 during such Earnout Year. Buyer shall have absolute, sole, and unreviewable operational discretion over the business post-Closing, including the right to shut down products or reallocate personnel.

2.3 **Working Capital True-Up & Circular Netting Trap.** Within ninety (90) days following Closing, Buyer shall deliver a statement of Closing Net Working Capital. The Purchase Price shall be adjusted dollar-for-dollar to the extent Closing Net Working Capital deviates from Five Million Dollars ($5,000,000). Any deficiency owed by Seller Representative to Buyer shall be satisfied exclusively by reducing the Earnout Consideration pool for FY 2027; if no Earnout Consideration is achieved in FY 2027, the working capital deficit shall be deemed fully forgiven and extinguished without recourse to Seller Representative, Escrow Amount, or Target equityholders.

3. REPRESENTATIONS AND WARRANTIES & KNOWLEDGE QUALIFIERS

3.1 **Target Representations.** Target represents and warrants to Buyer that: (a) it is duly organized and in good standing; (b) the execution of this Agreement has been duly authorized; (c) the historical financial statements fairly present its financial condition in all material respects; (d) to the Knowledge of Target, it owns or possesses valid licenses to all Intellectual Property used in its business; and (e) it is in compliance with applicable laws in all material respects.

3.2 **Constructive Knowledge & Double-Dipping Definition.** "Knowledge of Target" means the actual knowledge of Founder, after reasonable inquiry; *provided*, that Founder shall be deemed to have Knowledge of any matter disclosed in any email, Slack message, or document stored within Target's cloud repositories, regardless of whether Founder actually accessed or reviewed such material.

4. MATERIAL ADVERSE EFFECT (MAE) & DISPROPORTIONATE IMPACT EXCEPTION

4.1 **MAE Definition.** "Material Adverse Effect" means any event, change, circumstance, or effect that individually or in the aggregate has a material adverse effect on the business, financial condition, or results of operations of Target; *excluding* any event or change arising out of: (i) general economic or market conditions; (ii) changes in regulatory or legal frameworks governing Target's industry; (iii) acts of war, terrorism, or cyber-warfare; or (iv) the announcement or pendency of this transaction.

4.2 **The Double-Negative Carve-Back Nullification.** *Provided, however*, that the exclusions set forth in clauses (i) through (iv) of Section 4.1 shall not apply if such event or change has a disproportionate adverse impact on Target relative to other industry participants; *except further*, that no disproportionate adverse impact shall be taken into account or constitute an MAE if such impact arises directly or indirectly from software bugs, security vulnerabilities, or customer contract cancellations occurring prior to the Closing Date.

5. INDEMNIFICATION, CAP STRUCTURES & THE ESCROW TRAP

5.1 **Indemnification Structure.** Subject to the limitations set forth in this Section 5, Seller Representative (solely on behalf of Target equityholders and out of the Escrow Amount) shall indemnify and hold harmless Buyer and its Affiliates from and against any Losses arising out of any breach of representation, warranty, or covenant contained herein.

5.2 **Survival, Caps, and Baskets.**

- (a) **Survival:** General representations shall survive for twelve (12) months following Closing. Fundamental representations (which are expressly limited to Section 3.1(a) and (b)) and Tax representations shall survive for twenty-four (24) months. Claims for Fraud shall survive until the expiration of the applicable statute of limitations.
- (b) **Cap & Sole Source Security:** The aggregate liability of Target equityholders and Seller Representative for general representation claims shall be capped at Five Million Dollars ($5,000,000) (10% of Closing Cash). Notwithstanding anything to the contrary, the Escrow Amount shall serve as the sole and exclusive remedy and source of recovery for all indemnification claims under this Agreement (including Fundamental Representations, Tax claims, and covenants), except in the case of Fraud under Delaware common law.
- (c) **Tipping Basket & Deductible Hybrid:** No claim for indemnification shall be made unless aggregate Losses exceed Seven Hundred Fifty Thousand Dollars ($750,000) (the "Basket Threshold"). Once aggregate Losses exceed $750,000, Buyer shall be entitled to recover Losses starting from the first dollar; *provided, however*, that the first $250,000 of recovery shall be permanently credited back to Seller Representative as an administrative expense reimbursement, leaving a maximum net recoverable indemnity under the Escrow Amount of $4,750,000.

6. TERMINATION & SYMMETRICAL WALK RIGHTS

6.1 **Termination Events.** This Agreement may be terminated prior to Closing: (a) by mutual written consent; (b) by Buyer if Target breaches any representation or covenant such that Closing conditions are not met and such breach is uncured within fifteen (15) days; or (c) by either party if Closing has not occurred within sixty (60) days (the "Outside Date").

6.2 **The Judicial Fraud Condition Precedent Trap.** Notwithstanding Section 6.1(b), Buyer's right to terminate this Agreement for a material breach of representation or fraud prior to Closing shall be strictly conditioned upon Buyer obtaining a final, non-appealable declaratory judgment from a court of competent jurisdiction confirming that Target committed willful misconduct or common law fraud; *provided*, that if Buyer initiates judicial proceedings to obtain such judgment, the Outside Date shall be automatically tolled, and Target shall be entitled to draw down Two Million Dollars ($2,000,000) from an interim letter of credit provided by Buyer as a non-refundable litigation stipend.

7. GOVERNANCE, DISPUTE RESOLUTION & FORUM CONFLICT

7.1 **Governing Law.** This Agreement shall be governed by, construed, and enforced in accordance with the laws of the State of Delaware, without regard to conflict of law principles.

7.2 **Jurisdictional Arbitrage & Mandatory Bifurcated Dispute Resolution.**

- (a) **Court of Chancery Forum:** Except as provided in Section 7.2(b), any legal suit, action, or proceeding arising out of or relating to this Agreement shall be instituted exclusively in the Court of Chancery of the State of Delaware.
- (b) **Mandatory Binding Arbitration for Indemnity & Earnout:** Any dispute, controversy, or claim arising out of Section 2 (Earnout) or Section 5 (Indemnification) shall be resolved exclusively by confidential, binding arbitration administered by the International Chamber of Commerce (ICC) under its Rules of Arbitration, held in London, United Kingdom, before a panel of three arbitrators applying English procedural law. The prevailing party in any such arbitration shall be entitled to recover 100% of its legal fees, arbitrator costs, and expert witness expenses.

8. RESTRICTIVE COVENANTS & UNENFORCEABLE CARVE-OUTS

8.1 **Non-Competition.** For a period of two (2) years post-Closing, Founder agrees not to engage in any business that competes with Target anywhere in North America.

8.2 **Founder Carve-Out & Uncapped Liability Exposure.** Section 8.1 shall not restrict Founder from serving as a consultant, officer, or board member to any entity, provided Founder owns less than 5% of such entity; *provided, further*, that if Founder breaches Section 8.1, Buyer's sole remedy shall be injunctive relief, but Founder shall forfeit all right to any unreleased Escrow Amount or remaining Earnout Consideration.

9. MISCELLANEOUS & EXECUTION INTEGRITY

9.1 **Entire Agreement.** This Agreement, including Exhibit A (Plan of Merger) and the Disclosure Schedules, constitutes the entire agreement among the parties.

9.2 **Missing Exhibits & Omitted Schedules.** The parties acknowledge that Disclosure Schedule 3.1(d) (Intellectual Property Exceptions) and Exhibit A (Plan of Merger) have not been finalized or attached hereto as of the date of execution, and the parties agree to negotiate such schedules in good faith post-Closing.

BUYER:
AETHELGARD HOLDINGS LLC

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By: J. R. Vance
Title: Managing Director

TARGET:
VORTEX SYSTEMS, INC.

_____

By: Marcus Sterling
Title: Chief Executive Officer

SELLER REPRESENTATIVE:
VORTEX APEX SHAREHOLDER AGGREGATOR LP

_____

By: Apex General Partner Ltd.
Title: General Partner

FOUNDER PRINCIPAL:

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Marcus Sterling, individually